



MEMBERSHIP REQUIREMENTS

POLICY 8-7

PURPOSE: To establish policies regarding requirements for membership in the cooperative and issuance of certificates of membership.

INTRODUCTION:

The cooperative is owned by its members. With this concept, the Board realizes the importance of the members to the attainment of the Cooperative's goals and objectives. The Board further realizes the need for fair and just policies regarding the acceptance of interested parties for membership in the cooperative.

To this end, the Board hereby adopts these policies:

POLICIES:

1. Any person, firm, association and body politic or subdivision, may become a member in the BENECO by:
 - a. filing a written application for membership therein;
 - b. agreeing to purchase from the cooperative electric energy, when such electric energy becomes available;
 - c. agreeing to comply with and be bound by the Articles of Incorporation and by-laws of the cooperative, any rule by the Board, and requirements of the National Electrification Administration.
 - d. paying the membership fee specified, provided however, that no person, firm, association, corporation or body politic or subdivision thereof, shall become a member unless and until the membership has been accepted by the Board.
2. No person may hold more than one membership in the cooperative and no membership in the cooperative shall be transferable.
3. No bonafide applicant for membership who is able and willing to satisfy and abide by all such terms and conditions shall be denied arbitrarily, capriciously, or without any cause.
4. Membership in the cooperative shall be evidenced by a membership certificate which shall be given in such form and shall be signed by the President and by the Secretary of the Cooperative and corporate seal shall be affixed thereto; no membership certificate shall be issued for less than the required membership fee, not until such membership fee has been fully paid.
5. In case a certificate is lost, destroyed or mutilated, a new certificate may be issued therefore upon such uniform terms and indemnity to the cooperative as the Board may prescribe.
6. A husband and wife may apply for a joint membership and, subject to their compliance with the requirements set forth in this policy, may be accepted for such membership: the term MEMBER as used in this policy, shall be deemed to include a husband and wife holding a joint membership and any provision relating to the rights and liabilities of membership shall apply to generality of the foregoing, the



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effect of the hereinafter specified actions by or in respect of the holders of a joint membership shall be as follows:

- a. the presence at a meeting of either or both shall be regarded as the presence of one member and shall constitute a joint waiver of notice of the meeting.
 - b. the vote of either separately or both jointly shall constitute one joint vote.
 - c. a waiver of notice signed by either or both shall constitute one joint waiver.
 - d. notice to either shall constitute notice to both.
 - e. expulsion of either shall terminate the joint membership.
 - f. withdrawal of either shall terminate the joint membership.
 - g. either but not both may be elected or appointed as an officer or Board member, provided that the qualifications for such office are met.
7. A membership may be converted to a joint membership upon the written request of the holder thereof and the agreement by such holder and his/her spouse to comply with the Articles of Incorporation, by-laws, rules and regulations adopted by the Board; the outstanding membership certificate shall be surrendered, and shall be re-issued by the cooperative in such a manner and shall indicate the changed membership status.
8. Upon the death of either spouse who is a party to the joint membership, such membership shall be held solely by the survivor: the outstanding membership certificate shall be surrendered and shall be re-issued in such manner and shall indicate the changed membership status, provided however, that the estate of the deceased shall not be released from any debts due the cooperative.

(SGD) ABUNDIO M./ AWAL
Secretary

(SGD) MANUEL E. GONZALES JR.
President